

led to a collapse in its stock price. The best part—it's a good business with a durable moat. The business is squarely within your circle of competence, and you've figured out its intrinsic value today and two to three years out. You've found that the current stock price is less than half of the expected intrinsic value in two to three years.

What would cause your stock to reach its intrinsic value in a few years at most? Senator William Fulbright fixated on this question and asked Benjamin Graham about it during one of the more interesting exchanges in a U.S. Senate Banking and Commerce Committee hearing on March 11 in 1955:

Fulbright: One other question and I will desist. When you find a special situation and you decide, just for illustration, that you can buy for \$10 and it's worth \$30, and you take a position, and then you cannot realize it until a lot of other people decide it is worth \$30, how is that process brought about—by advertising, or what happens? What causes a cheap stock to find its value?

Graham: That is one of the mysteries of our business and it is a mystery to me as well as to everybody else. But we know from experience that eventually the market catches up with value.⁷

Whenever there is a dislocating event like 9/11 or Pearl Harbor, stock prices can be severely impacted in the short term, but they tend to bounce back over time. [Table 10.1](#) demonstrates that in spades.

The nine events outlined in [Table 10.1](#) all led to double-digit declines in the Dow in a few days or weeks. However, a few months later, the Dow had recovered most, if not all, of the decline. Business-specific microevents for businesses, like the Tylenol scare, the Exxon Valdez oil spill, or the American Express “salad oil crisis” in the 1960s, have similar traits. They all led to big instantaneous drops as panic and fear set in. Over time, as rationality prevailed, prices did recover to more rational levels.

[Table 10.1](#) DJIA Declines and Subsequent Performance after Crisis Events